dent that a higher ratio may make it difficult for you to manage. Smart borrowing is all about borrowing only what money you need and how long you need it for. Having a repayment plan is important because every rupee that you have to repay is a rupee that you don't save. The cost of borrowing goes up when the repayment tenure is long or one delays repayments with defaults, because interest cost, late fee and penalties creep in.

↘ FAILING TO PLAN IS PLANNING TO FAIL



Many people think that financial planning is about investing or income tax or retirement, but it's much more. Whether you have started your career or are close to retiring, financial planning helps you navigate your short, medium and long-term financial goals towards a vision of your future. No two plans are the same, they could be similar and a lot about your financial plan depends on your unique financial situation and circumstances in life.

A financial plan is a roadmap to your future finance needs—purchasing a home, sending children to college, family vacations or your retirement are some of the big financial goals that most people aspire to. Planning is important for financial fitness as it helps you understand your needs better and also to work on ways to achieve them. You need to put a plan into operation with a budget that allows you to know where your money comes from and where it goes, as mentioned earlier. While everyone's particular plan will be different, at a fundamental level, a financial plan will answer three questions—where you are financially today, where you would like to be and how you can get there.

Trying to achieve a financial goal, without knowing where you stand financially, is like taking part in a treasure hunt sans the map. A financial plan can help point you in the right direction financially and help you understand your spending and saving habits. Moreover, financial planning is an ongoing process; it's like the GPS to your financial goals, providing the direction for achieving your goals through proper optimal management of your financial situation. It is not about earning the maximum returns on an investment or saving the maximum possible income tax. The entire financial planning process takes into account your lifestyle, needs and priorities.

A comprehensive financial plan addresses efficient money management, investment planning, insurance and risk management, tax planning and retirement planning, including how you wish for your wealth to be distributed after your time. So many elements involving a financial plan could be intimidating, which is why it is a good time to consider getting an expert financial planner to help you. It's a small price to pay to enjoy the benefits of an up-to-date, comprehensive financial plan: peace of mind and increased financial and emotional well-being.

The foundation of being financially fit will start with having an emergency fund to help you manage tough financial times—a job loss, unexpected expenses towards a broken-down AC at home or just an unplanned trip to another city to look after your parents. The next step is to have adequate risk management in place; this would translate to requisite health and life insurance to meet financial expenses and keep your family safe if something were to happen to you.

For all other financial goals, you need to set them first and work backwards to invest in them regularly over the number of years it would take to reach them. If you are already servicing debts, you could work on a plan to retire them fast. Develop new financial habits of understanding about the working of different financial instruments and how they could fit into your plans.

The idea of regular investments is also to do with making a habit of investing frequently. Just as you earn a regular income, you should consider a regular investment plan to take the load off you to amass huge sums before you start investing.

Achieving financial fitness demands discipline and determination. Making small changes to the way you manage your finances can have a big impact when it comes to saving money. You need to follow a plan, involve your family, learn from mistakes, not give up and wait for results to show. ■

–Narayan Krishnamurthy

TEST YOUR FISCAL FITNESS

Q1: Do you have trouble knowing where your money went?

Q2: Do you feel increased financial pressure after a change in job or family status?

Q3: Are you sure you have sufficient health and life insurance?

Q4: Do you plan adequately for taxes or wait for the last moment in March every year?

Q5: Is your savings working hard for you, beating inflation?

Q6: Have you earmarked future financial goals that you are saving for?

Q7: Are your assets positioned properly to pass on to your beneficiary(ies)?

Q8: Do you default or delay EMIs?

Q9: Do you have an emergency fund sufficient for 3-5 months?

If you hesitated or were uncomfortable with any of the responses, you need to take control of your finances